Buy It So You Can Sell It

Property: _____ **Purchase date:** _____

Part G: Own it.

Takes in: everything the next buyer will demand.

Hands to: the eventual sale.

Fill this in the week you buy. The next buyer will ask for everything you wish you had asked for. Build that file now.

Built for MHC lot-rent math. RV parks run different economics.

1. The exit sheet: what the next buyer will demand

The next buyer will demand	Have it today? (Y/N)	Get it by
Recorded permits for every system		
Submetered or billed-back utilities, with 12 months of bills		
Clean books: 12 months of bank statements in the park's name		
Current lot map, lot numbers matching the rent roll		
Tenant estoppels or signed leases on file		
Phase 1 environmental in your name		
Park license and zoning letter, current		

- Every missing item is a discount the next buyer takes, or a lender's reason to say no.
- Submetering pays twice: lower bills now, a financeable asset later.

Submetering and bill-back rules vary by state. Confirm with your attorney before you install or bill.

2. What makes a buyer able to finance it

- [ ] Books a lender can read: 12 months of deposits in the park's name, one account, no personal mixing.
- [ ] Permits recorded, not promised. A permit you cannot find is a permit you do not have.
- [ ] Every occupied lot on a signed lease or estoppel. The lender underwrites paper, not handshakes.
- [ ] A license and zoning letter the lender's attorney can verify independently.

3. Your exit targets, written at purchase

Target exit year: _____

Price I need at exit ($): _____ **NOI I need to support it ($):** _____

If the park cannot produce that NOI with the lots it has, the exit price is a wish. Reprice the wish or replan the park.

4. The one missing item that matters most

The missing item that would cost me the most at sale: _____

The date I get it by: _____

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Worked example: Maple Bend Estates, fictional

Fictional. The buyer fills the exit sheet in the purchase week. Have it today: the lot map, the license and zoning letter, the Phase 1 ordered and due in three weeks. Missing: recorded permits for the well and septic systems, tenant estoppels on the 41 occupied lots, clean books (that clock starts at closing).

The most expensive missing item is the estoppels: a buyer without 41 signed lots has no income a lender will underwrite. Target date for all 41: day 90.

The exit math, written at purchase

Target exit price: $1,400,000 in year 7 at an 8% cap rate. NOI needed: 1,400,000 x 0.08 = $112,000. Baseline is the normalized NOI: $76,470. Gap to build over the hold: 112,000 - 76,470 = $35,530, about 35,530 / 7 = $5,076 a year over seven years.

Arithmetic, not a forecast: that $35,530 is 35,530 / 189,000 = 18.8% of the $189,000 of revenue, if expenses stay flat.

Every quarter, the buyer re-runs this math against the operating review (AS-30). If the NOI is not climbing toward $112,000, the exit price is a wish, not a plan.

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The Doctrine

The belief this tool shatters is that the exit is a problem for future you. Future you is the seller, and sellers who scramble for documents at listing time pay twice: once in the discount the buyer takes, once in the lenders who walk away. The next buyer will ask for everything you wish you had asked for, so build that file in the week you buy, while the paper is warm and the people who signed it still answer the phone. The rule is one sentence: run the park from day one like the buyer who will finance it is already reading your books. An asset a buyer can finance is an asset you can sell. Everything else is a story.

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